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# MAI–202

## M. B. A. (AI and DS) (SECOND SEMESTER)
## END SEMESTER EXAMINATION, July/Aug., 2022

CORPORATE FINANCE

**Time : Three Hours**

**Maximum Marks : 100**

**Note :** (i) This question paper contains two Sections–Section A and Section B.

(ii) Both Sections are compulsory.

(iii) Answer any *two* sub-questions among (a), (b) and (c) in each main question of Section A. Each question carries 10 marks.

(iv) Section B consisting of case study is compulsory. Section B is of 20 marks.

### Section—A

1. (a) "The profit maximisation is not an operationally feasible criterion." Do you agree ? Illustrate your views. (CO4)

(b) What are the major types of financial management decisions that business firms make ? Describe briefly each one of them. (CO2)

(c) "A rupee of today is not equal to the rupee of tomorrow." Do you agree ? (CO3)

*P. T. O.*

2. (a) A company issues ₹ 1,00,000 10% redeemable debentures at a discount of 5%. The costs of floatation amount to ₹ 3,000. The debentures are redeemable after 5 years. Compute before tax and after tax Cost of debt. The tax rate is 50%. (CO3)

(b) Satija Company has the following capital structure on 1 July, 2006 :

| | |
|---|---|
| Equity shares (4,00,000) | ₹ 80,00,000 |
| 10% Preference shares | ₹ 20,00,000 |
| 14% Debentures | ₹ 60,00,000 |
| | ₹ 1,60,00,000 |

The shares of a company currently sells for ₹ 25. It is expected that the company will pay a dividend of ₹ 2 per share which will grow at 7 per cent forever. Assume a 50% tax rate. You are required to compute a weighted average cost of capital on existing capital structure. (CO3)

(c) Explain the difference between traditional techniques and discounted flow techniques of capital budgeting methods. (CO3)

3. (a) Compare NPV and IRR method of capital budgeting. Under what situations these method gives conflicting results. (CO1)

(b) Explain the various sources of funds with their advantages and disadvantages of each of them. (CO2)

(c) A firm has sales of ₹ 75,00,000.Variable cost of ₹ 42,00,000 and Fixed cost of ₹ 6,00,000. It has a debt of ₹ 45,00,000 at 9% and equity of ₹ 55,00,000. What are the Operating, Financial, and Combined leverage of the firm ? (CO2)

4. (a) Explain briefly 'Net operating income' approach and 'Net income' approach to the problems of capital structure. (CO1)

(b) Explain theory of relevance of dividend payment. (CO2)

(c) Explain how working capital management policies affect the profitability and liquidity for the firm. (CO2)

## Section—B

5. **Case Study :** (CO5)

Bhaskar Manufacturing Ltd., has equity share capital of ₹ 5,00,000 (face value ₹ 100). To meet the expenditure of an expansion program, the company wishes to raise ₹ 3,00,000 and is having following four alternative sources to raise the funds : (CO3)

Plan A : To have full money from the issue of Equity shares.

Plan B : To have ₹ 1,00,000 from Equity and ₹ 2,00,000 from borrowing from the financial institutions @10% per annum.

Plan C : Full money from borrowing @10% per annum.

Plan D : ₹ 1,00,000 in Equity and ₹ 2,00,000 from 8% Preference shares.

The company is having present earnings of ₹. 1,50,000. The corporate tax is 50%. Select a suitable plan out of the above four plans to raise the required funds.